

CMD's Message
Independence Day, 15th August 2019

Good Morning, Colleagues and every member of the Copper Family, Dear Children, Ladies and Gentlemen present on the occasion.

I am indeed delighted today sharing with you the joyous celebration of 73rd Independence day of India. My greetings to all on this auspicious occasion.

However, on this joyful occasion, we pay our homage and remember the immeasurable sacrifices made by our freedom fighters and national leaders, whose undying love for India secured us our freedom. Their sacrifices will always inspire us. The debt of gratitude that we owe to our freedom fighter cannot be repaid.

Dear colleagues! the basic principle on which organizations grow and excel is: coordination in work and convergence of purpose. HCL, which is the only integrated copper mining company in India possessing two third of India's total copper ore reserves, shall have to compete with all its domestic and international players in the field – all of whom are striving for growth.

An old saying goes "**A journey of a thousand miles begins with a single step**". Our mine expansion projects are such single steps taken by the Company with great hope and ultimate success. Sustained growth is our business model and in this endeavour achieving expansion across all the segments of the value chain will be our focus area. We being the only Copper mining Company of the Country, it is our duty to the Nation to accomplish resource securitization of copper mineral by increasing the production from mines rapidly.

The performance of the Company during last fiscal year 2018-19 has been robust by creating new milestone of achievements. **The Company has**

achieved highest ever top line (revenue from operations). Copper ore production of 41.22 lakh tonnes was the highest in last 21 years with Malanjkhand Copper Project (MCP) attaining best ever production since inception. The overall margin during the fiscal year has improved significantly to 29.66% compared to 18.44% in the last year, registering growth of 60.84%.

With regards to viability of Units, I like to mention that Malanjkhand which is the flagship Unit of the Company has consistently shown profits and in the meantime profits from Khetri Units has increased and is consistent. I am sure that Ghatsila Unit will also come out of red very soon as the production from its captive mine Surda, Kendadih will pick up and production from Chapri-Sidheswar and Rakha mine will commence. We are also initiated steps to increase the capacity utilisation of Taloja and GCP Unit by sourcing suitable raw materials and avenues of tolling is also considered.

I take this opportunity to convey my appreciation to each one of you including Unions and Employee of the contractors involved in the production activities to make the above accomplishment possible. Without your dedication and hard work it would not have been possible. On this occasion I would also like to appreciate the whole hearted cooperation given by all the Trade Unions for maintaining harmonious and peaceful industrial relations in the Company. There has not been a single incidence of difference between Unions and Management at any levels.

But then, we have no scope for complacency as our performance has dipped in the first quarter of the current financial year. Though our production performance has been consistent and production of Copper ore has increased by 8% compared to corresponding period of the last year, our metal-in-concentrate (MIC) production has fallen due to steep fall in ore grade by 20% compared to corresponding period of last year.

Ladies and Gentlemen! Our Khetri Unit is facing acute water shortage which resultantly has led to fall in MIC production compared to last year achievement. The Management of the Company has taken up the issues at the highest level both at Central and State level for higher allocation of water from the State Government. I take this occasion to compliment the families our employees and residents of the township of Khetri and Kolihan for their co-operation in mitigating this chronic water crisis. To meet the gap between water supply and demand, there is an urgent need to take innovative measures for water conservation to reduce consumption and wastage.

The production targets for ore for this fiscal is 51.0 lakh tonne, though it is challenging, but it is not impossible. I request all the employees to work with a sense of ownership to achieve these milestones.

Dear friends! As you all aware, that LME copper prices are extremely volatile and profitability of the Company is greatly influenced by its movement. To sustain the Company in the event of lower LME prices, it is very important that the Company enhance its MIC production on war footing.

Dear colleagues! fiscal year 2019-20 will be landmark for our ongoing mine expansion projects as commercial production from Malanjkhand underground mine will commence, a contract for operation & maintenance of the mine has already been awarded. Also, it is planned to start work at site for Chapri-Sidheswar and Rakha projects at Ghatsila.

Besides our core business, we have also firmed up projects to commence non-LME revenue stream in the Company. Extraction of minerals like sand, magnetite, copper and precious metals from copper ore tails and sale of

mining waste rock of Malanjkhand mine are the two projects we have taken up.

In coming days, the Company plans to enhance its captive power generation through solar. We plan to install combined more than one megawatt of capacity at Ghatsila and KCC by utilizing large vacant space available, we are already have 500 KW solar capacity.

On completion of our mine expansion projects, the availability of copper concentrate in the Country will increase from current present 4% to 30% of the current demand. The expansion plan also lay thrust on exploration to increase the mine life by creating additional reserves and resources of copper. I am happy to announce for the current fiscal year, exploratory drilling of 5,500 meters at Kolihan mine and 8,800 meters at Surda mine will be accomplished by engaging MECL.

HCL has also been consistently receiving recognitions in various spheres of its activities. A few of the significant recognitions received in the field of CSR are as under:

- i. HCL was conferred the best CSR Impact Initiative Award 2018 at the National Awards for Excellence in CSR & Sustainability.
- ii. The Quality Circle team "Sahyog" of ICC Refinery won in Gold category during the Chapter Convention on Quality Circle (CCQC) at Kolkata and Excellent Award in Nation Convention on Quality Circle (NCQC) at Gwalior.
- iii. HCL has been conferred the "Skoch Order-of-Merit" for qualifying amongst Top 30 Skill Development Projects in India. Further, it was also recognized with Skoch Award "Skill Development Gold" for Skill Development Project.

- iv. Surda mines of ICC, Ghatsila got the first prize in Storage, Transport and use of Explosives in All India underground metal mines safety, cleanliness and silicosis awareness week 2018.
- v. HCL was awarded with Third prize for its Corporate Film (English) and Third prize for its Coffee Table Book (English) at the PRSI Nation Awards 2018 organized by Public Relation Society of India.

To stay profitable we have to enhance our production and productivity while reducing our costs. Since mining of Copper is water intensive, water conservation should be one of our focal areas as well.

I request you all to come up with suggestions pertaining to operational improvement, increase in productivity, curtailing expenses, etc. We will try to adopt and implement the feasible suggestions for the sake of organizational growth and improvement.

Contribution of each individual of the Copper Family is crucial to the prosperity of the Company. Each one of us should organize oneself and address ones deficiencies. It will help us emerge as an improved team in time to come.

To conclude! Let us all pledge to go hand-in-hand and strive wholeheartedly towards achieving the goals and vision objectives of our organisation and our Nation.

Jai Hind!

(Santosh Sharma)
Chairman and Managing Director
15.08.2019